

SENATE BILL 2418

By Stevens

AN ACT to amend Tennessee Code Annotated, Title 7;
Title 8 and Title 29, relative to lawsuits.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 8, Chapter 6, Part 3, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Contingent fee" means a fee that is contingent on the outcome of the matter for which the service is rendered; and

(2) "Political subdivision" means a political or taxing subdivision of this state, including counties, cities, metropolitan governments, municipal and quasi-municipal corporations, boards, commissions, authorities, councils, committees, subcommittees, and other subordinate groups or administrative units thereof, receiving or expending, and supported by, in whole or in part, public funds.

(b) A political subdivision may only enter into a contingent fee contract for legal services if the governing body of the political subdivision:

(1) Calls a public meeting in accordance with title 8, chapter 44, part 1 for the purpose of considering the contract and provides in the notice of the meeting:

(A) The reasons for pursuing the matter that is the subject of the legal services being procured and the desired outcome of pursuing the matter;

(B) The qualifications, experience, and competence of the attorney or law firm proposed for retention by the governing body;

(C) The nature of the relationship, if any, between the political subdivision or governing body and the attorney or law firm that is proposed for retention;

(D) The reasons the legal services cannot be adequately performed by the attorneys and supporting personnel of the political subdivision;

(E) The reasons the legal services cannot be reasonably procured under a contract providing for an hourly rate payment structure as opposed to a contingent fee structure; and

(F) An explanation as to why a contingent fee contract for legal services is in the best interest of the residents of the political subdivision;

(2) Makes a written finding that:

(A) There is a substantial need for the legal services that are the subject of the proposed contingent fee contract;

(B) The legal services cannot be adequately performed by the attorneys and supporting personnel of the political subdivision; and

(C) The legal services cannot reasonably be obtained from attorneys under a contract providing for an hourly rate payment structure due to the nature of the legal matter that is the subject of the contract or because the political subdivision does not have the funds necessary to pay the estimated cost of legal services provided under a contract at an hourly rate; and

(3) Approves the contract in a public meeting after discussion and consideration of the items described in subdivision (b)(1).

(c)

(1) Before a contingent fee contract for legal services proposed by a political subdivision pursuant to subsection (b) is executed, the political subdivision shall obtain approval of the contract by the attorney general and reporter. The political subdivision shall provide to the attorney general and reporter:

(A) A copy of the proposed contract;

(B) A description of the legal matter that is the subject of the proposed contract;

(C) A copy of the notice issued pursuant to subdivision (b)(1), the date such notice was issued, and a description of the method for providing such notice; and

(D) A copy of the written findings made pursuant to subdivision (b)(2).

(2) Within ninety (90) days after the political subdivision has provided the attorney general and reporter with the information required under subdivision (c)(1), the attorney general and reporter shall:

(A) Approve the contract; or

(B) Refuse to approve the contract and provide the political subdivision with one (1) of the following reasons for the refusal to approve:

(i) The legal matter that is the subject of the contract presents one (1) or more questions of law or fact that are in common with a matter that has already been adjudicated or that the state is currently litigating;

(ii) Pursuit of the legal matter by the political subdivision will not promote the just and efficient resolution of the matter; or

(iii) The contract does not comply with the Tennessee rules of professional conduct for attorneys adopted by the Tennessee supreme court.

(3) If the attorney general has not taken action on a contract pursuant to subdivision (c)(2) within ninety (90) days after receipt of the proposed contract, such contract is deemed approved.

(d) In a judicial or quasi-judicial proceeding in which a political subdivision is represented by an attorney providing legal services under a contingent fee contract for legal services that was not approved in accordance with this section, the attorney general and reporter may intervene in such proceeding and request that the proceeding be dismissed. If the court or quasi-judicial body concludes that the contract for legal services was not approved in accordance with this section, the court or quasi-judicial body shall dismiss the matter without prejudice.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and applies to contracts entered into, amended, or revised after July 1, 2026.